EQUITY RESEARCH · COMPANY DEEP DIVE

Mastercard Incorporated (MA.US)

Financial Services · Credit Services

Large Cap (>$200B) · Report Date: October 19, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-19

UNDERWEIGHT

Composite · Valuation: SELL

Target $529.65 · -14.0% upside

Price $615.91

INVESTMENT HIGHLIGHTS

- **SELL** — blended target $529.65 (-14.0% vs $615.91); DCF 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- Moderate revenue expansion (14.1% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT $529.65	45%
FSA	Stable	Health +0.05 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	NEUTRAL	Score -0.05 · 12m +11%	15%
Composite	UNDERWEIGHT	Score -0.18 · 25% confluence	—

Valuation anchor: -14% upside vs target; valuation rich but trend improving — wait for confirmation.

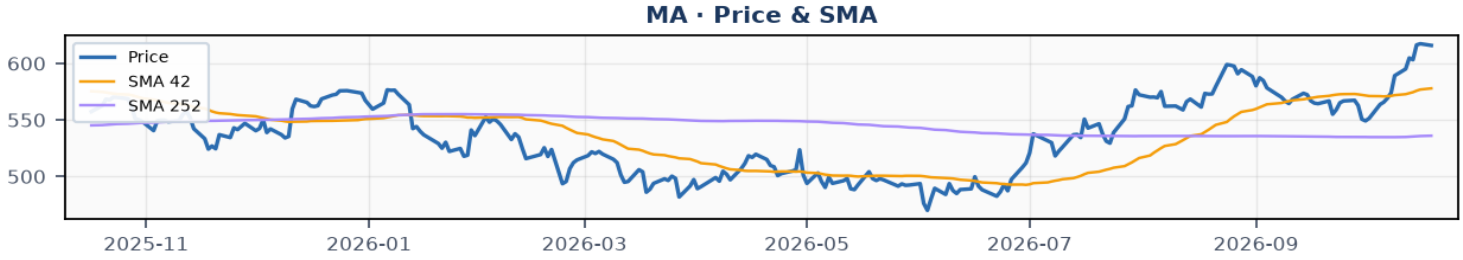
INVESTMENT THESIS / EXECUTIVE SUMMARY

Mastercard Incorporated (MA) — Financial Services. Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and... **SELL** rating; blended target $529.65. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$539.55B	Shares Out.	869.5M
52-Week Range	$464.52 – $622.49	P/E (TTM)	33.9x
P/B	96.3x	Beta	0.76
Avg Volume	2.88M	Analyst Rec.	Strong Buy
Revenue (TTM)	$35.08B	Rev Growth	+14.1%
Op. Margin	61.1%	FCF (TTM)	$16.43B
Gross Margin	100.0%	ROE	2.4%
EV/EBITDA	24.9x	Debt/Equity	439.6%
EPS (TTM)	$18.18	Div Yield	56.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	28,167	32,791	37,415	41,388	44,775
Revenue Growth (%)	N/A	16.4%	14.1%	10.6%	8.2%
Net Income ($M)	12,874	14,968	17,078	18,892	20,438
Gross Margin (%)	76.3%	77.9%	100.0%	100.0%	100.0%
Net Margin (%)	45.7%	45.6%	45.6%	45.6%	45.6%
EPS ($)	14.81	17.22	19.64	21.73	23.51
P/E (x)	41.60	35.78	31.36	28.35	26.20

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$577.91	Short-term trend	**12m Momentum**	+10.5%	
SMA (252d)	$536.03	Long-term trend	**3m Momentum**	+16.0%	
RSI (14d)	80.8	Momentum oscillator	**Ann. Volatility**	23.8%	
Trend	Bullish		**Sharpe Ratio**	0.33	Rf=4%
Golden Cross (20d)	No		**Max Drawdown**	-28.3%	
Death Cross (20d)	No		**Rel. Strength vs SPY**	-7.1%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 81 — overbought zone	**Quant Score**	-0.05	NEUTRAL
			SMA Backtest (ann.)	13.7%	B&H; 20.5%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$493.78	-19.8%	80%	Included in blend
Comps — Blended	$296.49	-51.9%	0% (excluded)	Diverges below other methods (51% of median)
Analyst consensus	$673.12	+9.3%	20%	Included in blend
Blended target	$529.65	-14.0%	100%	DCF 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
8.18%	1.98%	12.00%	$429.33B	$493.78	-19.8%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AXP	American Express Compa	$213.60B	19.2x	N/A	16.1%	+12.8%
PYPL	PayPal Holdings, Inc.	$48.25B	10.7x	8.0x	14.4%	+4.8%
COF	Capital One Financial	$122.68B	12.8x	N/A	21.9%	+11.1%
DFS	DFS	N/A	N/A	N/A	N/A	N/A
MA*	Mastercard Incorporate	$539.55B	33.9x	24.9x	46.3%	+14.1%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (14.1% YoY); High operating leverage (61.1% margin); Defensive profile (β=0.76) · Risks: Elevated leverage (D/E: 440%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.